REVENUE REGULATIONS NO. 29-2025 issued on December 22, 2025 further amends the “De Minimis” benefits provisions of Revenue Regulations (RR) No. 2-98, as amended, increasing the ceiling of non-taxable benefits.

Section 2.78.1 of RR No. 2-98, as amended by RR No. 4-2025, is hereby further amended to read as follows:

"***SECTION 2. 78.1. Withholding of Income Tax on Compensation Income*. –**

(A) Compensation Income Defined. – xxx

xxx xxx xxx

(3) Facilities and privileges of relatively small value. – xxx

(a) Monetized unused vacation leave credits of private employees not exceeding **twelve (12)** days during the year;

(b) Monetized value of vacation and sick leave credits paid to government officials and employees;

(c) Medical cash allowance to dependents of employees not exceeding **₱2,000.00** per employee per semester or **₱333.00** per month;

(d) Rice subsidy of **₱2,500.00** or one (l) sack of 50 kg. rice per month amounting to not more than **₱2,500.00**;

(e) Uniform and clothing allowance not exceeding **₱8,000.00** per annum;

(f) Actual medical assistance, e.g., medical allowance to cover medical and healthcare needs, annual medical/executive check-up, maternity assistance, and routine consultations not exceeding **₱12,000.00** per annum;

(g) Laundry allowance not exceeding **₱400.00** per month;

(h) Employee's achievement awards, e.g., for length of service or safety achievement. in any form, whether in cash, gift certificate, or any tangible personal property. with an annual monetary value not exceeding **₱12,000.00** received by the employee under an established written plan which does not discriminate in favor of highly paid employees;

(i) Gifts given during Christmas and major anniversary celebrations not exceeding **₱6,000.00** per employee per annum;

(j) Daily meal allowance for overtime work and night/graveyard shifts not exceeding **thirty percent (30%)** of the basic minimum wage on a per region basis; and

(k) Benefits received by an employee by virtue of a collective bargaining agreement (CBA) and productivity incentive scheme provided that the total annual monetary value received from both CBA and productivity incentive schemes combined do not exceed **twelve thousand** pesos **(12,000.00)** per employee per taxable year.

xxx xxx xxx